
PAPERBOY

THURSDAY, SEPTEMBER 3, 2026

Broadcom booked \$16.7bn of AI silicon in a single quarter, guided to \$21.7bn next and told the call it has already secured supply to reach roughly \$115bn in fiscal 2027 — and the stock fell anyway.

AI

Lutnick says Anthropic is “back on the right side”

WHAT HAPPENED

At the G20 innovation ministerial in Chapel Hill on 2 September, Commerce Secretary Howard Lutnick was asked whether he trusts Anthropic chief executive Dario Amodei. He answered: “We trust Anthropic. They’ve done what we asked. They’re back on the right side. So the answer is: Yes.” He then introduced co-founder Tom Brown to delegates. It closes a year of hostility that produced export controls on Anthropic’s most advanced models and a Pentagon blacklisting that Judge Rita Lin vacated on 28 August. [Axios](#) reported the same day that Trump’s AI team is fracturing over strategy.

WHAT IT MEANS

Anthropic spent a year as the administration’s designated problem child. Brown, not Amodei, appears to have done the repair work, with Lutnick and cyber director Sean Cairncross. The test is whether the export controls are actually withdrawn — a warm quote at a ministerial is not a rescinded rule.

WATCH NEXT

Whether Commerce formally lifts the model restrictions, and whether the Pentagon appeals the 28 August vacatur before its 60-day window shuts.

OpenAI hit with 30 more Tumbler Ridge lawsuits, now alleging aiding and abetting

WHAT HAPPENED

Edelson PC filed 30 further complaints in California on 2 September for teachers, a principal and students present at the 10 February attack on Tumbler Ridge Secondary School in British Columbia but not physically hurt, adding to seven filed in April. They escalate from negligence to aiding and abetting — a standard requiring proof of intent — and name chief global affairs officer Chris Lehane personally, alleging on information and belief that he told staff not to contact Canadian police. OpenAI’s Jason Kwon: “It is absolutely false to say Chris Lehane was involved with our original referral decision.” [TechCrunch](#)

WHAT IT MEANS

Intent is a much harder thing to prove than carelessness, and the Lehane allegation is pled without direct evidence. The structural point is the naming: plaintiffs sued Amodei and Mann personally last week, and now Lehane. Frontier labs are being sued as people, not only as balance sheets.

WATCH NEXT

Whether the 37 cases consolidate, and whether OpenAI moves to dismiss the individual claims against Lehane.

HiddenLayer raises \$100m as AI security becomes a budget line

WHAT HAPPENED

Austin-based HiddenLayer, which secures deployed machine-learning models, raised a \$100m Series B led by Delta-v Capital, with Ten Eleven Ventures, Morgan Stanley, Microsoft’s M12 and Booz Allen Hamilton joining. That takes total funding to \$150m; no valuation was disclosed. Recurring revenue is in the “tens of millions” and grew more than tenfold in a year, over 90% of it from new customers. Buyers include the Defense Department and intelligence agencies. Chief executive Chris Sestito: “Inference is still inference...we haven’t had to pivot, but we’ve had to grow our scope from traditional modeling to Gen AI to agentic.” [TechCrunch](#)

WHAT IT MEANS

Securing models was a thesis eighteen months ago. A tenfold ARR year with defence customers makes it procurement. Note Booz Allen on the cap table — that is a distribution channel wearing an investor’s coat, and it is how this category reaches federal buyers.

WATCH NEXT

Whether an incumbent — Palo Alto, CrowdStrike — buys into the category rather than building it.

Broadcom's AI revenue tripled. The stock fell.

WHAT HAPPENED

Broadcom's fiscal third quarter, reported 2 September: revenue \$29.59bn, up 86%; semiconductor solutions \$20.84bn, up 127% and now 70% of the company; infrastructure software \$8.75bn, up 29%. AI semiconductor revenue was \$16.7bn, up 221% year on year and 54% on the quarter. Non-GAAP operating income was \$20.1bn — 68% of revenue — with free cash flow of \$13.67bn and non-GAAP EPS of \$3.32. Fourth-quarter guidance is about \$34.8bn, with AI revenue of \$21.7bn. Hock Tan told the call the company has “secured the supply to again double AI revenue to approximately \$115 billion” in fiscal 2027. Shares fell as much as 6% after hours, narrowing to −3.5% at \$354.43. [Company release](#)

WHAT IT MEANS

A 221% quarter, a \$115bn forward number, and the shares went down. Custom accelerators are now priced for perfection. The absence worth noting: Broadcom gave no updated AI backlog figure this quarter — the last public one was above \$73bn, in fiscal 2025 — so a very large beat had nothing new to hand the bulls.

WATCH NEXT

Whether a backlog number reappears at the December print, and whether \$115bn survives contact with memory pricing.

Tencent-backed Enflame prices a \$911m Shanghai IPO into record retail demand

WHAT HAPPENED

Enflame Technology, the Tencent-backed AI chip designer, priced its Shanghai STAR Market listing on 2 September at 142.18 yuan a share, raising 6.12bn yuan (about \$911m). Roughly 7 million retail accounts bid, leaving an allocation rate of 0.025% — among the lowest in mainland China this year. The oversubscription multiple is reported inconsistently: SCMP puts the retail tranche at 4,073 times covered, other outlets put online demand at 6,109 times, and the two appear to be measuring different tranches. Enflame is the last of China's “four little dragons” of AI chips to list, after MetaX rose 693% and Moore Threads 425% on their December debuts. [SCMP](#)

WHAT IT MEANS

China is capitalising a domestic accelerator stack with public retail money rather than state grants, and a 0.025% allocation rate is retail investors pricing the export controls as permanent. Proceeds are earmarked for fifth- and sixth-generation parts.

WATCH NEXT

The first-day move against MetaX's 693%, and whether Enflame ever publishes shipment volumes rather than design wins.

Brinkema spares Google's ad tech business from a breakup

WHAT HAPPENED

Judge Leonie Brinkema issued her remedies ruling in the Justice Department's ad tech case on 2 September and declined to break Google up. Divestiture of the AdX exchange, open-sourcing of the DFP ad server's final auction logic and a contingent divestiture of DFP Remainder were all rejected; behavioural remedies were accepted "as modified by this Court." Which ones survived is not yet public — only a two-page order was released, the opinion sealed for 14 days for redaction. Trade press reports the package exposes real-time AdX bids to rival ad servers and ends "first look" and "last look," but no court document says so, so treat the specifics as unconfirmed. [Courthouse News](#)

WHAT IT MEANS

The government won liability and lost the remedy it wanted — the same shape as the search case. Behavioural decrees need a monitor and most of a decade to bite, and the parties, not the court, drafted them.

WATCH NEXT

The unsealed opinion in about two weeks, and the jointly proposed final judgment due within 30 days.

Uber cuts 3,300 jobs — 10% of staff — and takes out a fifth of its managers

WHAT HAPPENED

Uber is cutting 3,300 people, 10% of headcount and its largest reduction since the pandemic. Manager positions fall by 20%, half of all one- and two-person teams go, and anyone more than seven layers down from the chief executive is removed. Engineering, science and delivery are merging, delivery operations consolidating, and remote work is cut to under 1% of staff. Dara Khosrowshahi's email said growth "has also brought complexity: more layers, more coordination, more fragmented ownership." No charge was disclosed and no 8-K has been filed. [TechCrunch](#)

WHAT IT MEANS

Read the mechanics, not the number. Cutting managers 20% and killing two-person teams is a span-of-control fix, not a demand problem, and "seven layers down" is a figure a chief executive only knows because someone drew him the chart. AI was not given as a reason.

WATCH NEXT

The restructuring charge, which will surface in the third-quarter filing.

Beige Book: data centres are propping up the only construction that grew

WHAT HAPPENED

The Federal Reserve’s Beige Book, released 2 September, reported that “economic activity increased modestly since early July. Ten of the twelve Federal Reserve Districts reported growth in the slight to moderate range; two Districts reported no change.” On building: “Residential construction declined while nonresidential construction increased on balance, with some Districts noting a high concentration of activity related to data center projects.” The outlook was “positive, but sentiment was mixed,” with contacts reporting “heightened uncertainty surrounding the effects of higher energy prices, policy, and international conflict.” Wednesday’s closes: S&P 500 7,666.60 (+0.46%), Nasdaq 26,217.83 (+0.45%), Dow 53,061.95 (+0.56%), Russell 2000 2,953.17 (+1.1%). The 10-year Treasury held at 4.79%, the 2-year at 4.39%. [Beige Book](#)

WHAT IT MEANS

One sector is holding up non-residential construction, and it is the one buying Broadcom’s silicon. The Fed now names energy prices first among what makes its contacts nervous — the war has moved from the oil screen into the macro text. We still have no primary crude settlement for 2 September — the EIA’s latest primary spot is WTI \$84.57 for 28 August.

WATCH NEXT

ISM services this afternoon, payrolls tomorrow, then the FOMC on 15-16 September with new projections.

Wonderful doubles to a \$5bn valuation in under six months

WHAT HAPPENED

Wonderful, an Israeli-Dutch enterprise AI company founded in early 2025, raised a \$550m Series C at a \$5bn valuation, led by Insight Partners with Index Ventures, IVP, Vine Ventures, 9Yards, Bessemer and — for the first time — Salesforce. That is more than double the \$2bn it carried at its Series B roughly six months ago. It started in customer-service agents and has repositioned around a “Wonderful AI OS” that orchestrates agents and workflows against a company’s own systems, with forward-deployed engineers on site and operations in more than 35 countries. No revenue figure was disclosed. Co-founder Roey Lalazar: customers “retain ownership of everything they build.” [TechCrunch](#)

WHAT IT MEANS

Salesforce writing its first cheque into an agent-orchestration company it competes with is the interesting line, not the valuation. No ARR disclosed at \$5bn is a choice.

WATCH NEXT

Whether Salesforce follows with a commercial agreement or an acquisition attempt.

Félix Pago raises \$200m to move remittances over stablecoins

WHAT HAPPENED

Félix Pago, which lets people send money across borders through a WhatsApp conversation settled on stablecoins, raised \$200m — \$87m of equity plus a \$113m credit facility — in a Series C co-led by Andreessen Horowitz and General Catalyst’s Customer Value Fund. It targets US-Latin America corridors. The valuation was not disclosed. The structure matters: most of the money is a warehouse line to pre-fund transfers, not equity. [TechStartups](#) — single-roundup sourcing, no company release located, so treat the split as reported rather than confirmed.

WHAT IT MEANS

Stablecoin remittance has spent three years as a demo. A credit facility of that size means somebody underwrote real volume. The consumer interface being WhatsApp rather than an app is the actual product decision.

WATCH NEXT

A company press release confirming the equity/debt split, and whether the corridors named are Mexico-only.

The rest of Wednesday's sheet

WHAT HAPPENED

HyImpulse (Germany, hybrid-propulsion rockets) extended its Series A by more than €50m from JOIN Capital and Ace Capital Partners. PeopleX (Japan, enterprise AI for HR and sales on a proprietary model) raised ¥5.45bn in equity and debt from en-Japan, Angel Bridge, WiL and One Capital. Lasso Security took \$30m from ClearSky and Entrée Capital for AI guardrails engineered to run on CPU rather than GPU. Enhance raised \$18.2m for fitness-club software; iPremom €15m seed for blood tests detecting pregnancy complications; Metal \$4.5m seed from a16z Speedrun and Y Combinator; Meissner C\$3.6m pre-seed for machine-learning superconductor discovery; nanoSkunkWorkX \$2m seed for thin-film interfaces managing AI-chip heat. All from aggregator roundups; valuations undisclosed.

WHAT IT MEANS

Two threads worth pulling: Lasso pitching CPU-only inference as a feature is a cost argument dressed as an architecture one, and nanoSkunkWorkX is the second thermal-management seed this fortnight. Heat is becoming a fundable problem.

WATCH NEXT

No rounds had posted for 3 September at the time of writing.

US

ADP: private payrolls added just 38,000 in August

WHAT HAPPENED

ADP's National Employment Report, out 2 September, put private-sector hiring at 38,000 in August — the slowest since January, and short of a consensus wire estimate near 47,000. Goods-producing sectors shed 10,000, manufacturing down 17,000. Services added 48,000, almost all of it education and health (+45,000) and leisure and hospitality (+16,000); professional and business services lost 16,000. Job-stayers' base pay rose 3.0% year on year against 4.7% for job-changers. ADP chief economist Nela Richardson: "Pay can tell us a lot about today's choppy hiring." [ADP](#)

WHAT IT MEANS

Strip out education and health and private hiring was negative. That is a labour market held up by one non-cyclical sector while manufacturing sheds workers — awkward for a Fed whose chair has spent the summer arguing the inflation problem is its own fault and needs fixing.

WATCH NEXT

The August employment situation from the BLS tomorrow, 4 September. ADP and BLS diverge often; the BLS print is the one the FOMC uses.

House rejects a constitutional amendment to fix the Supreme Court at nine

WHAT HAPPENED

The House voted 212–206 on 2 September on H.J.Res. 1, Representative Andy Biggs’s proposal to write a nine-justice Supreme Court into the Constitution, with 15 not voting. Taken under suspension of the rules, it needed two thirds and failed, near party-line. Biggs, per CBS: “A fixed court cannot be expanded by whoever happens to win the next election.” Representative Katherine Clark said Republicans would “permanently relinquish the power to set the number of Supreme Court Justices, given to Congress in Article I.” It followed a Tuesday vote condemning socialism. [Roll Call 293](#)

WHAT IT MEANS

Nobody expected 290 votes. Both floor days this week were messaging votes aimed at the midterms, and bringing an amendment up under suspension — where it cannot be amended and must clear two thirds — is how you schedule a loss you want on the record.

WATCH NEXT

Whether Senate Republicans take up a companion resolution when the chamber returns on 11 September.

Mail-voting fight reaches a hearing today, and two more election cases hit the Supreme Court

WHAT HAPPENED

Judge Indira Talwani’s combined preliminary-injunction hearing on the administration’s mail-ballot restrictions is set for today, 3 September, in the District of Massachusetts; it had not been held at the time of writing and no postponement was reported. Her 28 August restraining order runs at least to around 11 September; she wrote that the court is “unaware of, and no party has proffered, any delegation Congress has made that would permit the USPS to regulate election mail.” Two more election disputes landed on the Supreme Court’s interim docket on 1 September: a bid to force a citizenship-verification measure onto Michigan’s November ballot after the canvassing board deadlocked 2–2, and an NRCC challenge to a ruling on preferential broadcast ad rates. [Democracy Docket](#)

WHAT IT MEANS

The calendar is now the argument. North Carolina begins mailing ballots tomorrow and Michigan’s board finalises its ballot the same day, so what is left is being litigated against printing deadlines rather than on the merits.

WATCH NEXT

Talwani’s ruling, North Carolina’s ballots going out 4 September, the Michigan board meeting the same day, and the UOCAVA deadline on 19 September.

US drones reportedly struck two Iranian tankers under a “tanker for tanker” policy

WHAT HAPPENED

Axios reported on 2 September that US drones fired missiles into the engine rooms of two Iranian government-owned tankers anchored off Iran’s coast, under a new “tanker for tanker” policy personally approved by President Trump. If accurate it is the first US strike on Iranian shipping in retaliation for Iranian attacks in the Strait of Hormuz rather than to enforce the blockade. It rests on one outlet and one unnamed official; no CENTCOM release mentions tankers and no vessel is named. Separately, AEI’s Critical Threats project assesses that roughly half of the ~25 Iranian ballistic missiles fired at Jordan failed to reach Jordanian airspace, and that over 17 million barrels transited Hormuz on 31 August — the most since the war began, against a pre-war average of 21.6 million a day. [Critical Threats](#)

WHAT IT MEANS

Two numbers point the same way: a 50% missile failure rate and near-normal Hormuz traffic. Iran cannot close the strait it has nominally blockaded since February, and the US has moved from stopping cargo to destroying Iranian state assets.

WATCH NEXT

Whether CENTCOM confirms the tanker strikes, and Treasury’s promised bank sanctions — Bessent said one is “likely” this week; OFAC has posted no Iran designation since 28 August.

Germany blames Russia for the Leipzig airport drone plot and closes a consulate

WHAT HAPPENED

Berlin formally attributed the 4 August explosive-drone incident at Leipzig/Halle airport to Russia on 2 September and announced retaliation. The drone was found near a Ukrainian aircraft with its detonator removed before it could go off; Leipzig/Halle is a NATO strategic airlift hub supplying Ukraine. Germany will close the Russian consulate in Bonn on 18 September, shut the Russian House in Berlin, propose more Russians for EU hybrid-attack sanctions and press harder on shadow-fleet tankers. Interior Minister Alexander Dobrindt said the device showed “a high degree of technical expertise” though “low-level” operatives executed it. Putin called the allegations a “far-fetched and contrived pretext.” [NPR](#)

WHAT IT MEANS

Germany has spent two years attributing sabotage privately and acting quietly. Naming Russia and closing a consulate is a deliberate change of register, and the shadow-fleet line ties it to the sanctions file rather than to policing.

WATCH NEXT

Whether the additional names make the EU’s October sanctions package, and Moscow’s promised “fitting response.”

Malta acquits Yorgen Fenech of ordering Daphne Caruana Galizia’s murder

WHAT HAPPENED

A Maltese jury on 2 September acquitted businessman Yorgen Fenech 8–1 on both counts of complicity and conspiracy in ordering and paying for the 2017 car-bomb killing of the investigative journalist Daphne Caruana Galizia. Her family said the verdict denied her “the justice she deserves,” and that “nine years after Daphne’s brutal assassination, the institutional failures that enabled her murder remain unaddressed.” Others convicted remain jailed: the Degiorgio brothers, 40 years each; Jamie Vella and Robert Agius, life in 2025; Vincent Muscat, 15 years. The middleman Melvin Theuma was pardoned in 2019 for his testimony. [CBS News](#)

WHAT IT MEANS

The men who built and placed the bomb are in prison; the case against the man accused of paying for it collapsed in front of a jury. A pardoned middleman as the central witness is a fragile structure, and Malta has failed at the only part of this case that asked who ordered it.

WATCH NEXT

Whether the attorney general appeals, and whether the 2021 public inquiry’s findings on state failure ever produce more than a report.

SOURCES

Broadcom — Q3 FY2026 results

Snowflake — Q2 FY2027 results (SEC)

Federal Reserve — Beige Book, September 2026

ADP — National Employment Report, August 2026

US House — Roll Call 293, H.J.Res. 1

US Treasury — daily par yield curve, September 2026

Axios — Lutnick on Anthropic

TechCrunch — OpenAI faces 30 more Tumbler Ridge lawsuits

TechCrunch — HiddenLayer raises \$100m

SCMP — Enflame's Shanghai IPO

Courthouse News — Google avoids ad tech breakup

TechCrunch — Uber lays off 3,300

TechCrunch — Wonderful raises \$550m at \$5bn

TechStartups — funding roundup, 2 September

Democracy Docket — mail-voting litigation explainer

SCOTUSblog — new election disputes on the interim docket

AEI Critical Threats — Iran Update, 2 September 2026

NPR — Germany blames Russia for Leipzig drone attack

CBS News — Yorgen Fenech acquitted

OFAC — recent actions